

MERIDIAN & ASSOCIATES LLP

Audit & Assurance Practice

Risk-Based Audit Methodology

Standard Approach for Planning and Executing Financial Statement Audits

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1. Overview and Authoritative Framework

This document codifies Meridian & Associates LLP's risk-based audit methodology for financial statement audits of both SEC registrants (conducted in accordance with PCAOB standards) and non-registrant entities (conducted in accordance with AICPA generally accepted auditing standards, i.e., Clarified Statements on Auditing Standards). The methodology is also aligned with the International Standards on Auditing (ISAs) issued by the International Auditing and Assurance Standards Board (IAASB) for engagements subject to those standards.

The firm's approach is built upon the fundamental principle that audit effort should be directed toward areas of higher assessed risk of material misstatement. This risk-based allocation of resources ensures both audit quality and engagement efficiency.

2. Understanding the Entity and Its Environment

In accordance with PCAOB AS 2110 and ISA 315 (Revised 2019), the engagement team obtains a thorough understanding of the entity and its environment, including:

- Industry, regulatory, and other external factors, including the applicable financial reporting framework (e.g., U.S. GAAP, IFRS).
- The nature of the entity: its operations, ownership and governance structures, types of investments and investment activities, the way the entity is structured and financed.
- The entity's selection and application of accounting policies, including reasons for changes thereto. Whether the entity's accounting policies are appropriate for its business and consistent with the applicable financial reporting framework and industry practice.
- The entity's objectives and strategies, and related business risks that may result in material misstatement of the financial statements.
- The measurement and review of the entity's financial performance, including key performance indicators, analyst reports, and peer benchmarking data.

3. Identifying Significant Accounts and Relevant Assertions

The engagement team identifies significant accounts and disclosures and their relevant assertions. An account or disclosure is considered significant if there is a reasonable possibility that the account or disclosure could contain a misstatement that, individually or when aggregated with other misstatements, could have a material effect on the financial statements. The relevant financial statement assertions are:

- Existence or Occurrence: Assets, liabilities, and equity interests exist at the balance sheet date; transactions occurred during the period.
- Completeness: All transactions, assets, liabilities, and equity interests that should have been recorded have been recorded; all disclosures that should have been included have been included.
- Valuation or Allocation: Assets, liabilities, and equity interests are recorded at appropriate amounts and any resulting valuation or allocation adjustments are appropriately recorded.
- Rights and Obligations: The entity holds or controls the rights to assets, and liabilities are obligations of the entity at a given date.
- Presentation and Disclosure: Transactions, balances, and disclosures are properly classified, described, and disclosed in conformity with the applicable financial reporting framework.
- Accuracy: Amounts and other data relating to recorded transactions and events have been recorded appropriately, and related disclosures have been appropriately measured and described.
- Cutoff: Transactions and events have been recorded in the correct accounting period.

4. Risk Assessment: Inherent Risk and Control Risk

4.1 Inherent Risk Assessment

Inherent risk is assessed at the assertion level for each significant account and disclosure. The assessment considers the following inherent risk factors as specified in ISA 315 (Revised 2019):

- Complexity: The degree of complexity in the underlying transactions, accounting requirements, or processes.
- Subjectivity: The degree to which the information required to determine the appropriate accounting treatment, or amounts and disclosures, is subject to management judgment or estimation.
- Change: The degree of change in the entity's operations, environment, or applicable financial reporting framework that affects the account or disclosure.
- Susceptibility to misstatement due to management bias or fraud: The degree to which the inherent risk factors of complexity, subjectivity, or change provide the conditions for management bias, whether intentional or unintentional, to exist.
- Uncertainty: The degree of estimation uncertainty associated with a financial statement line item or disclosure.

4.2 Control Risk Assessment

Control risk is assessed based on the engagement team's evaluation of the design and implementation of internal controls relevant to the audit. For integrated audits of SEC registrants (conducted under PCAOB AS 2201), the team also evaluates the operating effectiveness of internal control over financial reporting (ICFR) and issues an opinion on ICFR.

The control risk assessment drives the nature, timing, and extent of further audit procedures. Where the team intends to rely on controls to reduce substantive testing, tests of controls are designed to obtain sufficient appropriate evidence about the operating effectiveness of those controls throughout the period under audit.

4.3 Risk Assessment Matrix

The firm utilizes a standardized Risk Assessment Matrix to classify the combined risk of material misstatement for each significant account-assertion combination. The matrix maps inherent risk (Low, Moderate, High, Very High) against control risk (Low, Moderate, High) to yield a combined risk rating that determines the required level of substantive audit evidence:

	Control: Low	Control: Mod	Control: High
Inherent: Low	Low	Low	Moderate
Inherent: Mod	Low	Moderate	High
Inherent: High	Moderate	High	Very High
Inherent: V. High	High	Very High	Very High

5. Materiality Determination

Materiality is determined in accordance with PCAOB AS 2105 and ISA 320. The firm's standard benchmarks and percentages are as follows:

5.1 Overall Materiality

Overall materiality is ordinarily set at 5% of pre-tax income from continuing operations. Alternative benchmarks may be used when pre-tax income is not a meaningful measure (e.g., for entities with volatile or near-break-even earnings). Approved alternative benchmarks include:

- Revenue: 0.5% to 1% of total revenue (for entities where revenue is the primary performance measure).
- Total assets: 0.25% to 0.5% (for asset-intensive industries such as financial institutions or REITs).
- Net assets / equity: 1% to 2% (for not-for-profit entities or investment companies).
- Blended approach: weighted average of multiple benchmarks (requires National Office approval).

5.2 Performance Materiality

Performance materiality is set at 75% of overall materiality. This level is calibrated to reduce to an appropriately low level the

probability that the aggregate of uncorrected and undetected misstatements exceeds overall materiality. For first-year engagements, or where prior-year audit adjustments or errors indicate elevated risk, performance materiality may be reduced to 50%-65% of overall materiality at the engagement partner's discretion.

5.3 Clearly Trivial Threshold

Misstatements below 5% of overall materiality are considered clearly trivial and need not be accumulated for purposes of evaluating the effect of uncorrected misstatements. However, misstatements that are qualitatively significant (e.g., related party transactions, management compensation, regulatory compliance) are accumulated regardless of amount.

6. Designing Audit Procedures

6.1 Tests of Controls

For engagements where a controls reliance strategy is adopted, the engagement team designs tests of controls to evaluate operating effectiveness. Sample sizes are determined using the firm's statistical sampling module within MeridianAudit Suite, considering the desired level of assurance, the expected deviation rate, and the tolerable rate of deviation.

6.2 Substantive Procedures

Substantive procedures include both substantive analytical procedures and tests of details. The nature, timing, and extent of substantive procedures are responsive to the assessed risks of material misstatement at the assertion level. For all significant accounts with a combined risk rating of 'High' or 'Very High,' the firm requires tests of details (substantive analytical procedures alone are not sufficient at those risk levels).

The firm's data analytics capabilities (see the Audit Technology Integration Framework, Document MA-AA-TI-2026-006) enable the engagement team to perform full-population testing of journal entries and automated three-way matching, supplementing traditional sampling-based approaches where appropriate.

7. Documentation Standards

All risk assessments, materiality determinations, and audit strategies are documented in the firm's MeridianAudit Suite platform. Documentation must be sufficient to enable an experienced auditor, having no previous connection with the engagement, to understand the nature, timing, and extent of procedures performed, evidence obtained, and conclusions reached, as required by PCAOB AS 1215 and ISA 230.